

WILLIAMSON TEA KENYA LIMITED
AUDITED RESULTS FOR THE 12 MONTHS ENDED 31 MARCH 2013

Website: www.williamsontea.com

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	31.03.2013 Kshs'000	31.03.2012 Kshs'000
Turnover	3,490,681	3,607,409
Profit from operations before tax	863,292	729,500
Increase in fair value of biological assets	202,557	440,944
Finance costs	(11,265)	(51,480)
Share of results of associated Companies	101,176	44,535
Profit before taxation	1,155,760	1,163,499
Tax charge	(300,101)	(308,759)
Profit for the year	855,659	854,740
Attributable to:		
Equity Holders of the parent	826,288	820,822
Non-controlling interest	29,371	33,918
Profit after tax attributable to members	855,659	854,740
Comprising:		
Profit arising from operating activities	694,435	537,723
Profit arising from changes in fair value of biological assets	131,853	283,099
Non-controlling interest	29,371	33,918
	855,659	854,740
Issued Shares of Kshs 5 each	8,756,320	8,756,320
Earnings per share (Kshs)	94.36	93.74

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs'000	Revaluation Reserves Kshs'000	Revenue Reserves			Non-controlling Interest Kshs'000	Total Kshs'000
			Biological Assets gains/(losses) Kshs'000	Other Kshs'000	Total Kshs'000		
Balance at 1 April 2011	43,782	239,867	948,532	2,904,799	3,853,331	134,248	4,271,228
Total comprehensive income for the year		368,968	283,099	537,723	820,822	33,918	1,223,708
Excess depreciation transfer		(31,483)		31,483	31,483		-
Deferred tax on excess depreciation		9,445	-	(9,445)	(9,445)		-
Final Dividends declared-2011				(109,454)	(109,454)		(109,454)
Interim dividends paid-2012			-	(437,816)	(437,816)	(2,610)	(440,426)
		-	-		-		-
Balance at 31 March 2012	43,782	586,797	1,231,631	2,917,290	4,148,921	165,556	4,945,056
Balance at 1 April 2012	43,782	586,797	1,231,631	2,917,290	4,148,921	165,556	4,945,056
Total comprehensive income for the year		126,000	131,853	694,435	826,288	29,371	981,659
Excess depreciation transfer		(109,929)		109,929	109,929		-
Deferred tax on excess depreciation		32,979	-	(32,979)	(32,979)		-
Final Dividends declared-2012				(65,672)	(65,672)	(2,786)	(68,458)
		-	-		-		-
Balance at 31 March 2013	43,782	635,847	1,363,484	3,623,003	4,986,487	192,141	5,858,257

COMMENTARY ON THE RESULTS

The year under review saw reasonable weather conditions, albeit two significant hailstorms in April and August 2012, which resulted in a reduction of our own crop. This not withstanding, the rainfall throughout the year ensured that the crop remained high in the last quarter and contributed significantly to the results.

DIVIDEND

In view of the favourable results, the Directors recommend a final dividend of KShs 7.50 per share (2012 - KShs 7.50) to be approved at the forthcoming Annual General Meeting. The final dividend if approved will accrue to those members on the register at close of business on 25th June 2013. The register will remain closed from 26th June to 2nd July 2013 both days inclusive with the dividend being paid thereafter net of withholding tax as applicable.

PROSPECTS

The weather conditions continue to be unpredictable. In addition to uncertain market demand, foreign exchange fluctuations and the ever increasing costs of production, the impact of the new County Governments and the new Agricultural and Fisheries board may adversely affect the performance and profitability of the Group in the forthcoming financial year.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the Sixty third ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Thursday 27th June 2013 at 10.00 a.m for the following purpose:

- 1) To receive and adopt the report of the directors together with the audited financial statements for the year ended 31 March 2013.
- 2) To declare dividend
- 3) To elect directors:
 - i) In accordance with Article 108 of the Company's Articles of Association, Mr. Philip Magor retires by rotation and offers himself for re-election.
 - ii) In accordance with Article 108 of the Company's Articles of Association, Mr. Ezekiel Wanjama retires by rotation and offers himself for re-election.
 - iii) In accordance with Article 114 of the Company's Articles of Association, Mr. Mathew Koech, a director appointed to fill a casual vacancy retires at the meeting and being eligible, offers himself for re-election.
 - iv) In accordance with Article 114 of the Company's Articles of Association, Mr. J . P Brooks, a director appointed to fill a casual vacancy retires at the meeting and being eligible, offers himself for re-election.
- 4) To approve the remuneration of the directors.
- 5) To authorise the directors to reappoint /appoint Auditors and agree their remuneration.
- 6) Any other such business of which notice has duly been served.

G K MASAKI
COMPANY SECRETARY
THURSDAY, MAY 30, 2013

The above extract is based on the Financial Statements of Williamson Tea Kenya Group for the year ended 31 March 2013 as audited by Deloitte & Touche who have issued an unqualified report. The Financial Statements have been prepared in accordance with the International Financial Reporting Standards. The Group's annual reports and press release of the annual results can be accessed at the Company's website: www.williamsontea.com

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	31.03.2013 Kshs'000	31.03.2012 Kshs'000
Capital and reserves		
Share Capital	43,782	43,782
Revaluation reserves	635,847	586,797
Revenue reserves	4,986,487	4,148,921
	5,666,116	4,779,500
Non-controlling interest	192,141	165,556
Total Equity	5,858,257	4,945,056
Non current liabilities		
Deferred Taxation	1,245,530	1,115,144
Employee benefit obligations	181,428	159,859
Borrowings & Finance lease	-	5,965
	1,426,958	1,280,968
	7,285,215	6,226,024
REPRESENTED BY:		
Non current assets		
Property , Plant and Equipment	1,720,640	1,480,897
Intangible assets	3,746	2,045
Prepaid Operating Lease Rentals	76,794	76,878
Investments	874,305	795,315
Biological Assets	2,663,985	2,440,869
	5,339,470	4,796,004
Current assets		
Inventories	615,738	357,901
Trade and other receivables	873,471	1,215,558
Associated companies	90,343	85,005
Taxation	6,469	34,242
Short Term deposits	798,239	630,339
Bank & Cash	300,104	124,178
	2,684,364	2,447,223
Current liabilities		
Trade and other payables	686,309	926,666
Associated companies	4,750	4,256
Taxation	41,527	1,164
Borrowings & finance leases	6,033	85,117
	738,619	1,017,203
	7,285,215	6,226,024
CONSOLIDATED STATEMENT OF CASHFLOWS		
	31.03.2013 Kshs'000	31.03.2012 Kshs'000
Operating activities		
Cash generated from operations	705,301	396,724
Interest paid	(2,690)	(4,072)
Interest received	77,461	103,119
Taxation Paid	(125,500)	(261,203)
	654,572	234,568
Investing activities		
Purchase of Plant and equipment	(148,028)	(221,890)
Purchase of intangible assets	(3,030)	(1,781)
Proceeds from disposal of plant and equipment	5,169	12,700
Expenditure on biological assets	(20,559)	(28,431)
Proceeds from disposal of investment property and associated company	-	452,665
Dividend from - Associated company	11,607	11,607
- other	-	-
	(154,841)	224,870
Financing Activities		
Loans repaid	-	(19,031)
Asset finance loans repaid	(27,657)	(36,052)
Dividends paid to shareholders	(65,747)	(547,239)
Dividend paid to minority interest	(2,786)	(2,610)
	(96,190)	(604,932)
Increase in cash and cash equivalents	403,541	(145,494)
Movement in cash and cash equivalents		
At 1 April	694,802	840,296
Increase/(decrease)	403,541	(145,494)
At 31 March	1,098,343	694,802
Cash and Bank balances	300,104	124,178
Short term deposits	798,239	630,339
Bank Overdraft	-	(59,715)
	1,098,343	694,802

KAPCHORUA TEA COMPANY LIMITED
AUDITED RESULTS FOR THE 12 MONTHS ENDED 31 MARCH 2013

Website: www.williamsontea.com

STATEMENT OF COMPREHENSIVE INCOME

	31.03.2013 Kshs'000	31.03.2012 Kshs'000
Turnover	1,353,206	1,406,794
Profit from operations before tax	161,143	99,063
Increase in fair value of biological assets	81,808	6,154
Finance income	12,802	7,359
Profit before taxation	255,753	112,576
Tax charge	(76,035)	(34,608)
Profit for the year	179,718	77,968

Comprising:

Profit arising from operating activities	122,452	73,660
Profit arising from changes in fair value of biological assets	57,266	4,308
	179,718	77,968

Issued Shares of Kshs 5 each	3,912,000	3,912,000
Earnings per share (Kshs)	45.94	19.93

STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs'000	Revaluation Reserves Kshs'000	Revenue Reserves			Total Kshs'000
			Biological Assets gains/(losses) Kshs'000	Other Kshs'000	Total Kshs'000	
Balance at 1 April 2011	19,560	85,952	394,277	476,608	870,884	976,397
Total comprehensive income for the year		108,610	4,308	73,660	77,968	186,578
Excess depreciation transfer		(8,865)	-	8,865	8,865	-
Deferred tax on excess depreciation		2,660	-	(2,660)	(2,660)	-
Dividend paid - 2011			-	(29,340)	(29,340)	(29,340)
Balance at 31 March 2012	19,560	188,357	398,585	527,133	925,718	1,133,635
Balance at 1 April 2012	19,560	188,357	398,585	527,133	925,718	1,133,635
Total comprehensive income for the year			57,266	122,452	179,718	179,718
Excess depreciation transfer		(28,449)	-	28,449	28,449	-
Deferred tax on excess depreciation		8,535	-	(8,535)	(8,535)	-
Dividend paid - 2012			-	(29,340)	(29,340)	(29,340)
Balance at 31 March 2013	19,560	168,443	455,851	640,159	1,096,010	1,284,013

COMMENTARY ON THE RESULTS

The year under review saw reasonable weather conditions. There was rainfall throughout the year which ensured the crop levels remained high particularly in the last quarter of the year. This contributed significantly to the results thus increasing the profit from operating activities. Fair value gain on biological assets is not equivalent to cash realised from operations and therefore not distributable to the shareholders.

DIVIDEND

In view of the favourable results, the Directors recommend a final dividend of KShs 7.50 per share (2012 - KShs 7.50) to be approved at the forthcoming Annual General Meeting.

The final dividend if approved will accrue to those members on the register at close of business on 25th June 2013

The register will remain closed from 26th June to 2nd July 2013 both days inclusive with the dividend being paid thereafter net of withholding tax as applicable.

PROSPECTS

The weather conditions continue to be unpredictable where rainfall is unevenly distributed. In addition to the uncertain market demand, foreign exchange fluctuations and the ever increasing costs of production, the impact of the new County Governments and the new Agricultural and Fisheries board may adversely affect the performance and profitability of the company in the forthcoming financial period.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the Sixty fourth ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Thursday 26th June 2013 at 10.00 a.m for the following purpose:

- 1) To receive and adopt the report of the directors together with the audited financial statements for the year ended 31 March 2013.
- 2) To declare dividend
- 3) To elect directors:
 - i) In accordance with Article 95 of the Company's Articles of Association, Mr. Philip Magor retires by rotation and offers himself for re-election.
 - ii) In accordance with Article 95 of the Company's Articles of Association, Mr. Anthony Marsh retires by rotation and offers himself for re-election.
 - iii) In accordance with Article 99 of the Company's Articles of Association, Mr. Mathew Koech, a director appointed to fill a casual vacancy retires at the meeting and being eligible, offers himself for re-election.
- 4) To approve the remuneration of the directors.
- 5) To authorise the directors to reappoint /appoint Auditors and agree their remuneration.
- 6) Any other such business of which notice has duly been served.

G K MASAKI
COMPANY SECRETARY
THURSDAY, MAY 30, 2013
The above extract is based on the Financial Statements of Kapchorua Tea Company Limited for the year ended 31 March 2013 as audited by Deloitte & Touche who have issued an unqualified report. The Financial Statements have been prepared in accordance with the International Financial Reporting Standards. The Company's annual reports and press release of the annual results can be accessed at the Company's website: www.williamsontea.com

STATEMENT OF FINANCIAL POSITION

	31.03.2013 Kshs'000	31.03.2012 Kshs'000
Capital and reserves		
Share Capital	19,560	19,560
Revaluation reserves	168,443	188,357
Revenue Reserves	1,096,010	925,718
Shareholders funds	1,284,013	1,133,635
Non current Liabilities		
Deferred Taxation	318,739	296,218
Employee benefit obligations	86,738	76,149
	405,477	372,367
	1,689,490	1,506,002

REPRESENTED BY

Non current assets		
Property , Plant and Equipment	418,509	460,977
Prepaid Operating Lease Rentals	21,693	21,717
Intangible Assets	255	565
Investments	717	717
Biological Assets	813,964	726,731
	1,255,138	1,210,707

Current Assets

Inventories	193,376	127,374
Trade and other receivables	314,439	427,509
Due from related companies	4,750	4,256
Tax recoverable	-	2,330
Short Term deposits	181,788	165,837
Bank & Cash	128,984	24,884
	823,337	752,190

Current Liabilities

Trade and other payables	284,987	371,890
Due to related companies	90,344	85,005
Taxation	13,654	-
	388,985	456,895
	1,689,490	1,506,002

STATEMENT OF CASH FLOWS

	31.03.2013 Kshs'000	31.03.2012 Kshs'000
Operating activities		
Cash generated from operations	207,584	160,104
Interest paid	(290)	(415)
Interest received	13092	7774
Tax Paid	(37,530)	(8,082)
	182,856	159,381
Investing activities		
Purchase of Plant and equipment	(31,741)	(85,731)
Purchase of intangible assets - computer software	-	(348)
Proceeds from disposal of Plant and Equipment	2,026	-
Dividends received	3	3
Expenditure on biological assets	(3,706)	(2,757)
	(33,418)	(88,833)
Financing activities		
Loans repaid	-	(988)
Net finance lease obligations	-	(3,727)
Dividends paid	(29,387)	(29,159)
	(29,387)	(33,874)

Increase in cash and cash equivalents	120,051	36,674
Movement in cash and cash equivalents		
At 1 April	190,721	154,047
Increase	120,051	36,674
At 31 March	310,772	190,721

Cash and Bank balances	128,984	24,884
Short term deposits	181,788	165,837
	310,772	190,721